

Article | 25 September 2026

UNITED STATES

THINK Ahead: US jobs report and eurozone inflation data

Next week's US jobs report will be closely watched for signals on the Fed's October rate decision, while eurozone inflation data will provide an update on underlying price pressures



We expect September's US jobs report to show 100k jobs added

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Fri): Financial markets have moved to price an October Federal Reserve interest rate hike as being more likely than not. There are two key reports that will largely determine what the Fed decides to do, with the first – the September jobs report – due on Friday. The August report was much stronger than expected after a subdued run. Given that the low-hire, low-fire narrative remains in place, we expect a downward revision to that August number, with September coming in at around 100k jobs added. The unemployment rate is expected to hold at 4.1%. This outcome will keep an October rate hike in play. The next key data release will be September inflation, due on 14 October.

Eurozone (Bert Colijn)

- **Inflation (Fri):** Eurozone inflation continues to move mainly on energy prices at the moment. But with core inflation still at the same level as it was before the Middle East war started – 2.4% in both February and August – eyes will once again be on whether signs of second-round effects are kicking in.

Key events in developed markets

Country	Time	Data/event	ING	
Tuesday 29 September				
US	1400	Jul Case-Shiller 20 (MoM%/YoY%)	0.1/2.1	0.2/2.1
	1500	Sep Consumer Confidence	90.0	89.4
	1500	Aug JOLTS job openings (000s)	7150	7271
Eurozone	1000	Sep Business Climate	-	-0.22
	1000	Sep Economic Sentiment	98.7	98.4
	1000	Sep Consumer Confidence Final	-16.5	-15.5
Spain	0800	Aug Retail Sales (MoM%/YoY%)	-/-	-0.9/-0.3
	0800	Sep CPI Flash NSA (MoM%/YoY%)	-/-	0.7/4.3
Canada	1330	Jul GDP (MoM%)	0.0	0.3
Wednesday 30 September				
US	1315	Sep ADP National Employment (000s)	70	38
	1330	Aug Personal Income (MoM%)	0.4	0.4
	1330	Aug Personal Consumption Real (MoM%)	0.4	0
	1330	Aug Consumption, Adjusted (MoM%)	1.0	0.2
	1330	Aug Core PCE Price Index (MoM%/YoY%)	0.3/3.4	0.2/3.3
	1330	Q2 GDP Final (QoQ%)	1.5	1.5
	1330	Aug goods trade balance (\$bn)	-	-
	1445	Sep Chicago PMI	51.0	47.1
Germany	0700	Aug Retail Sales (MoM%/YoY%)	1.0/-1.8	-3.4/-2.5
	0855	Sep Unemployment Rate	6.4	6.4
	1300	Sep CPI (MoM%/YoY%)	0.4/3.2	0.2/2.9
France	0745	Sep CPI Prelim (MoM%/YoY%)	-/-	0.7/2.4
UK	0700	Q2 GDP Final (QoQ%/YoY%)	-/-	0.4/1.2
	0700	Q2 Current Account GBP	-	-22.1
Italy	0900	Sep Consumer Confidence	94	94.5
	1000	Sep CPI Prelim (MoM%/YoY%)	0.3/3.8	0.5/3.3
Portugal	1100	Sep CPI Flash (MoM%/YoY%)	-/-	0/3.3
Thursday 1 October				
US	1330	Initial Jobless Claims (000s)	205	197
	1500	Sep ISM Manufacturing PMI	54	54.6
	1500	Sep ISM Manufacturing Prices Paid	75	71.1
Eurozone	0900	Sep HCOB Manufacturing PMI Final	-	52.7
	1000	Aug Unemployment Rate	6.4	6.4
Germany	0855	Sep HCOB Manufacturing PMI Final	54.3	54.3
UK	0930	Sep S&P Global/CIPS Manufacturing PMI Final	-	51.7
Italy	0845	Sep S&P Global/IHS Manufacturing PMI	49.8	49.6
	0900	Aug Unemployment Rate	5.8	5.8
Switzerland	0730	Sep CPI (MoM%/YoY%)	-/-	0.4/0.8
Friday 2 October				
US	1330	Sep Non-Farm Payrolls (000s)	90	162
	1330	Sep Private Payrolls (000s)	100	127
	1330	Sep Unemployment Rate	4.1	4.1
	1500	Aug Factory Orders (MoM%)	-0.2	0.9
Eurozone	1000	Sep CPI Flash (MoM%/YoY%)	3.3	0.4/3.2
	1000	Sep Core CPI Flash (YoY%)	2.5	2.4
Italy	0900	Aug Retail Sales (MoM%/YoY%)	-/-	-0.4/0.8

Source: Refinitiv, ING

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Article | 24 September 2026

UNITED STATES

US manufacturing revival gathers pace despite tariff and energy headwinds

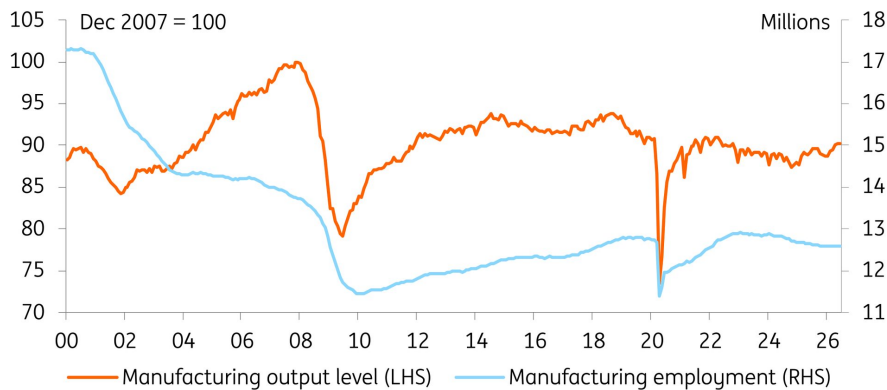
After three years of stagnation, US manufacturing appears to be on an upswing as production and order books gain momentum. Tariffs and energy costs pose challenges, but trends in reshoring, AI/robotic technologies and rising defence spending provide reasons for longer-term optimism



The revival in US manufacturing is being led by the tech sector, including Google data centres (pictured above)

The US manufacturing sector has experienced a torrid couple of decades. Output volumes remain 10% below the peak level hit just before the Global Financial Crisis in December 2007. The sector employs a million fewer workers than it did 20 years ago. Reasons for this poor performance include consumer demand preferences shifting ever further toward services over physical goods, underinvestment in advanced production facilities relative to international competitors, high US labour costs and the removal of trade barriers allowing foreign manufacturers to gain market share.

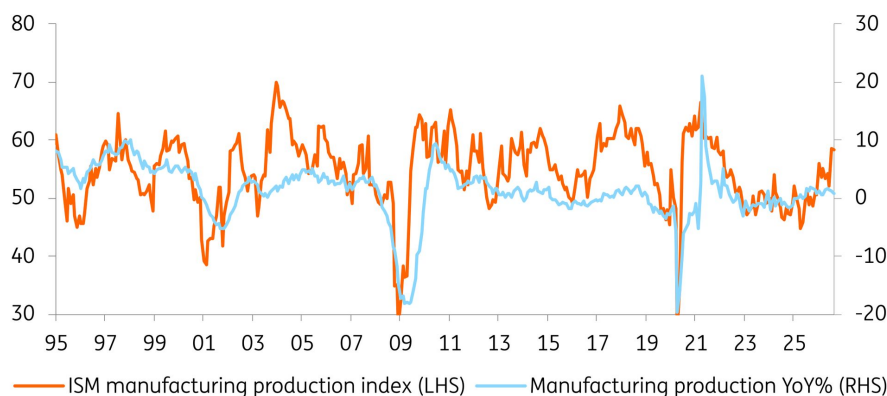
Manufacturing output levels and manufacturing employment



Source: Macrobond, ING

Nonetheless, the sector has shown genuine signs of a revival over the past year. The ISM production index has moved from sub-50 contraction territory to signalling robust growth ahead. Below, we look at what is driving this turnaround and how it could evolve.

ISM production index points to an ongoing manufacturing output upturn



Source: Macrobond, ING

Tariffs remain President Trump's primary tool

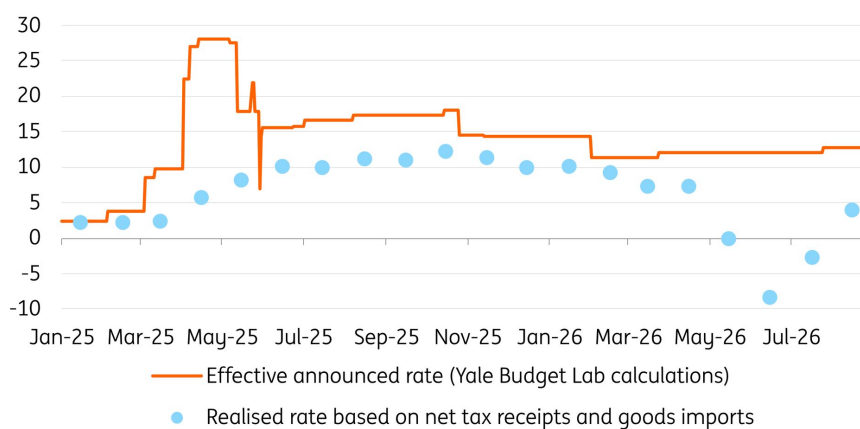
Reviving manufacturing has been top of mind for all recent presidents. In his first term, President Trump's solution was to impose tariffs on Chinese-made imports along with sector-specific levies. The rationale being that this would boost the price competitiveness of US manufacturers in key sectors. Yet it failed to generate the desired turnaround. Initiatives from President Biden similarly yielded little benefit.

In his second term, President Trump doubled down, initially announcing 25% tariffs on steel and aluminium, and then a 25% tariff on auto parts before launching into his 'Liberation Day' tariffs in April 2025 that dramatically expanded coverage.

Invoked under the International Emergency Economic Powers Act (IEEPA), individual tariff rates changed based on a trading partner's willingness to open markets to US manufacturers and guarantee investment within the US. The chart below shows that the realised tariff rate undershot the calculated implied average tariff rate based on the full-year 2024 import mix.

Reasons for this include import substitution via switching to lower-tariffed foreign suppliers, a surge in tariff-exempt high-tech imports, and better USMCA compliance. This means a greater proportion of Canadian and Mexican trade qualified for tariff exemptions, and some modest evidence of switching towards US-made products.

Effective announced tariff rates versus realised tariff rates (%)



Source: Yale budget Lab, Macrobond, ING

The Supreme Court ruled against those tariffs in late February. In response, Trump swiftly invoked Section 122 of the 1974 Trade Act. It allows tariffs of up to 15% for as long as 150 days before the US Trade Representative launches Section 301 investigations. The end result is 10% tariffs on 14 countries, including the EU, Mexico, Canada and the UK, with 46 other countries, including imports from China, Japan and India facing a 12.5% tariff. This, in itself, is a lower tariff regime under the IEEPA system.

Given several important tech and medical categories are exempted, we expect the realised tariff rate to come close to 7%. This is a less onerous environment than 12 months ago. Moreover, importing companies' cash flows are being boosted by the Supreme Court's decision to insist that the \$166bn of IEEPA tariffs be fully refunded. That means the realised tariff rate temporarily fell into negative territory in July, as IEEPA refunds more than offset all other tariff charges.

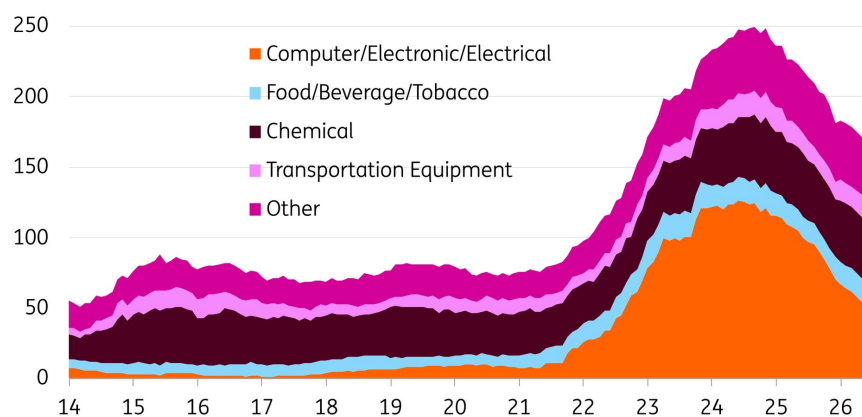
Reshoring yet to show up in construction activity

Citing the effectiveness of tariffs, the Administration has touted the "[largest reshoring wave in American history](#)". It points to a four-year high for the ISM manufacturing index while

employment in the manufacturing sector rose 58,000 in the first eight months of this year. Amid pledges from corporate America to invest more in the US, the National Association of Manufacturers reported that foreign direct investment in US manufacturing reached a new record level in [2025 of \\$2.5tr](#).

Yet manufacturing-related construction activity does not reflect this positive narrative. Manufacturing construction spending peaked in September 2024 at an annualised \$249bn and currently stands at \$170bn. We've seen a sharp slowdown in construction activity in the computer, electronics and electrical sector from \$126bn to \$57bn over that same period. That follows the conclusion of the CHIPS and Science Act from the previous Biden Administration, which provided nearly \$53bn to boost the domestic semiconductor industry. Strip out this sector and construction activity tied to the rest of manufacturing has changed little over the past two years. So, despite commitments from business leaders, little evidence suggests that a reshoring boom is underway just yet.

Manufacturing sector construction spending (\$bn)



Source: Macrobond, ING

While tariffs may improve the relative cost comparison versus foreign products, the National Association of Manufacturers states that in 2024, manufacturing employees earned an average of \$106,691, including pay and benefits. That is substantially higher than the average cost of employing someone in China, South Korea and even Germany. This suggests that for manufacturing reshoring to make sense, it would be tied to companies that are highly automated with high value-added production. Alternatively, there could be an appetite to reshore where consumers are willing to pay the premium for a 'Made in America' label or where security of supply chains is an imperative.

Sectors most likely to receive a boost include technology, transport and aerospace, electric vehicles, clean energy and pharmaceuticals. The latter is where we have seen the largest announcements, with Johnson & Johnson's \$55bn investment spending plan over the next four years and Eli Lilly announcing a \$27bn investment in its US manufacturing operations.

And in solar manufacturing, tariffs, price floors, and China-focussed trade restrictions are supporting the expansion of US manufacturing across the value chain.

While the construction numbers aren't showing any uplift yet, it takes significant time to get planning in place. Advanced manufacturing plants also take a long time to construct. Intel, for example, suggests it takes three to five years with 6,000 construction workers at a cost of \$10bn to build a new factory. An aluminium smelter takes two to three years for construction, in addition to the time needed to design and secure planning approval. Significant infrastructure is also typically required for all new manufacturing sites, including power, road, rail and water, adding to the cost of reshoring.

The Middle East conflict and energy prices

Restrictions on shipping through the Strait of Hormuz have raised concerns about energy shortages, higher prices and potential production disruption for manufacturers globally. However, the US is better positioned to manage those challenges than European and Asian competitors. The US produces more energy than it consumes. Oil prices are set in global markets and push up the cost of gasoline and diesel, with freight costs consequently increasing in the US and elsewhere. However, the US is in a better position relative to foreign competitors in terms of natural gas. Abundant domestic production is keeping prices well below long-run averages.

This has a knock-on effect: lower electricity prices vis-à-vis other countries, which should give US manufacturers a cost advantage over foreign peers. US-based companies involved with steel, metal and glass production – heavy industries that require high-temperature processes – and agriculture and fertiliser production, which use natural gas to convert into nitrogen fertilisers, should be relative winners on the global stage. Similarly, the availability of natural gas, used as a feedstock to create products such as plastics, should give a competitive boost for US manufacturers.

Nevertheless, electricity-intensive manufacturers could come under pressure as AI-driven data centre growth drives up power demand. For example, Emirates Global Aluminium and Century Aluminium are planning a 750,000-ton aluminium smelter in Oklahoma, the first new US smelter in almost 50 years. The facility would double current US aluminium output, but may face challenges competing with data centres for power.

Financial conditions are a headwind

Borrowing costs have risen in response to elevated energy prices and a belief that the Federal Reserve is set to tighten policy and keep interest rates higher for longer. In an environment of substantial government fiscal deficits and anxiety about debt sustainability, US longer-dated Treasury yields have pushed above 5%. Corporate bond spreads have tightened, but not by enough to prevent an overall rise in borrowing costs. Moody's 10Y Aaa corporate debt

benchmark index is pointing to a 56bp increase in borrowing costs since the start of the year.

Mortgage rates, auto loans and credit card borrowing costs all increased for similar reasons. This will act as a brake on economic activity over time. Auto loan and credit card delinquencies are already on par with the rates recorded in the aftermath of the Global Financial Crisis, and the household saving ratio is around 3pp below its long-run average of 6%. As such, this tightening of financial conditions, amplified by the recent strengthening of the US dollar, is a headwind for the sector.

Sector performance diverges markedly

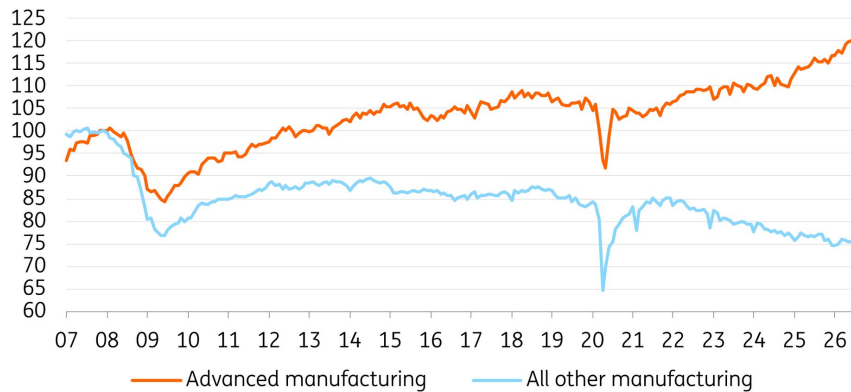
Tariffs and energy security do boost the attractiveness of manufacturing in the US. But so does US economic growth continuing to outperform other key markets. Between 2023 and 2026, the US economy has grown an average of 2.5% year-on-year in volume terms versus 0.9% in Europe.

At the same time, the US Administration believes maintaining the lead in the AI/technology frontier is imperative for both economic and national security, given competition from China. Rapid AI adoption is leading to robust construction of data centres, boosting electricity demand and spurring investment across the power supply chain, from generation and transmission to electrical equipment. In response, gas turbine manufacturers such as GE Vernova and Caterpillar are planning major capacity expansions in the US. ABB has also announced a \$110m investment to expand production of switchgear and other electrical components in Virginia, Puerto Rico, and North Carolina. The Trump administration's focus on expanding US energy dominance and industrial competitiveness is increasing the appeal of manufacturing these in the US.

As we can see in the chart below, high value-added or advanced manufacturing, within which we group tech, electronics, transport and power-related sectors, has significantly outperformed other sectors. We expect this story to continue. We also see defence as a sector that should continue to post strong growth. As more countries increase military spending, US companies may benefit from strengthening order books.

Traditional, labour-intensive, commoditised manufacturing sectors continue to shrink under pressure from foreign competitors. Here, tariffs are not enough to provide the competitiveness boost needed to offset the high cost of producing in the US. These US producers are also often detrimentally impacted in foreign markets by retaliatory tariffs.

Advanced manufacturing versus traditional output (Dec 2007 = 100)



Source: Macrobond, ING

Modest growth disguises growing bifurcation

Business surveys point to strong order books, and we see this supporting manufacturing's ongoing revival. Our volume growth forecast for US manufacturing of 1.5-2% per year over the next three years may not seem like much, but it should be seen in the context of the sluggish activity experienced over the past 20 years. This headline forecast also masks increased bifurcation, with advanced manufacturing growing rapidly while more traditional sectors look set to retrench further.

Highly automated, high-value-added sectors at the forefront of the AI/technology revolution are seen as national champions by the government and are able to absorb the relatively high wages on offer in the US. The desire to incorporate AI advances should, in theory, drive advances in productivity-enhancing initiatives that further support innovation. As such, pharma, tech, transport & aerospace, electrical and power-related sectors should continue to grow robustly.

Lower value-added production, where labour costs make up a greater share of the overall cost base of production, will continue to struggle unless it can garner a 'made in America' premium. Heavy industry, such as steel, is likely to be somewhere in the middle. While costs have risen, they have risen more elsewhere. And the perception of the US as a source of reliable energy, backed by strong political support in a higher-tariff environment, also presents opportunities for growth.

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Article | 29 September 2026

GERMANY

The German housing market's weakness is showing up everywhere except in prices

Higher mortgage rates are back. Housing affordability is deteriorating. Demand for mortgage loans is weakening. Yet, German house prices continue to edge higher



Aerial view of residential buildings in the Ruhr region of Germany

At first glance, these developments seem contradictory. In reality, rising prices in thinner markets can easily happen, but they also tell the story of a housing market caught between cyclical headwinds and structural shortages. While financing conditions are once again weighing on demand, the chronic lack of housing supply has prevented a more pronounced correction in prices.

Prices tell only half of the story

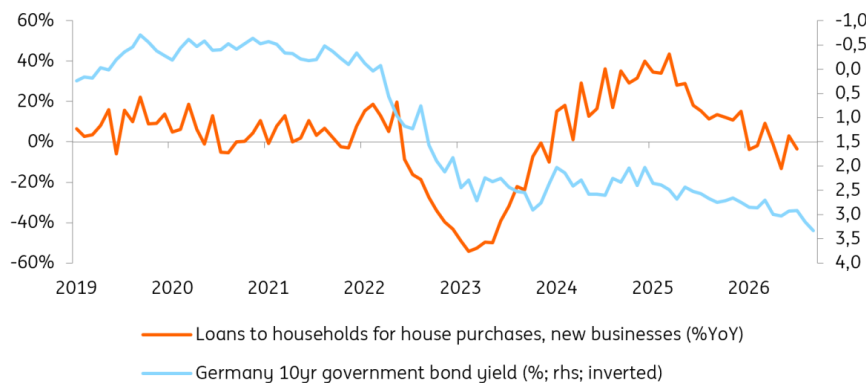
Germany's economy has fared better than expected this year. Despite geopolitical tensions, political uncertainty and another jump in energy prices, [sentiment indicators continue to point towards resilience](#). And the housing market once again is reflecting trends in the broader economy.

According to the German Statistical Office's house price index, house prices rose by 0.3%

quarter-on-quarter in the second quarter of 2026, from a downwardly revised 0.1% QoQ in the first quarter. On the year, house prices were up by 0.6% in the second quarter of 2026. While German house prices remain 8.2% below their 2022 peak, they have recovered by more than 5% from the trough reached in 2024.

At face value, these figures suggest that the housing market has shrugged off another rise in interest rates. However, it's not that simple. In fact, recent mortgage lending data suggests that the 100bp surge in mortgage interest rates is leaving its mark on demand. New business volume for mortgage lending was down by more than 1.5% in the first seven months of the year.

Interest rate development & mortgage demand



Source: LSEG Datastream; ING Economic & Financial Analysis

This once again underlines the sensitivity of housing demand to financing conditions. Affordability remains the key cyclical driver of the German housing market, and affordability has deteriorated lately. Prospective buyers now face a challenging combination of higher property prices, higher financing costs and the lingering effects of weaker real purchasing power, driven by the adverse economic effects of the war in the Middle East. Even relatively small increases in mortgage rates can have a disproportionate effect on borrowing capacity, pushing potential buyers out of the market or forcing them to postpone purchase decisions.

The outlook offers little immediate relief. With capital market yields rising further in August and September, mortgage rates are likely to remain elevated throughout the third quarter of 2026. As a result, a meaningful rebound in housing demand appears unlikely in the near term.

Structural shortage versus cyclical weakness

The main reason why prices are still increasing probably lies in the persistent mismatch between supply and demand. Germany still suffers from a structural housing shortage, while residential construction remains subdued. This structural shortage provides an important floor for house prices. It helps explain why mortgage lending and property prices are currently

sending different signals. Lending activity is already reacting to a deterioration in affordability and higher borrowing costs. Prices, by contrast, continue to benefit from supply constraints and typically adjust only with a considerable delay. And don't forget that prices can increase in smaller volumes.

All in all, Germany's housing market is telling an interesting story of a market under substantial pressure from higher interest rates but still seeing increasing house prices.

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Article | 29 September 2026

FX

FX Daily: Lagarde lifts some support from the euro

Yesterday, we felt EUR/USD had a good chance of some recovery, but Gulf developments and dovish comments from Christine Lagarde have tilted risks back to the downside. Elsewhere, AUD is under some pressure after the RBA delivered its expected rate hike but revealed it had considered holding rates steady



Dovish remarks by ECB President Christine Lagarde are leaving the euro more vulnerable

➔ **USD: Focus on consumer confidence and JOLTS today**

Optimism about any progress in US-Iran negotiations is fading at the start of this week, with Iranian officials reportedly saying a deal is unlikely before the 3 November US midterms. For now, the Trump administration is not budging on key conditions and yesterday refused a proposal by Iran to reopen the Strait of Hormuz.

Brent touched \$109/bbl yesterday (now \$107), delivering another blow to the bond market. For now, equities have suffered some knock-on effect but are absorbing the shock quite well, but the risks are that high valuations reach a risky tipping point with rates rising so rapidly. It's a tail risk that is getting fatter, and one that would be associated with big dollar gains.

For now, the greenback is continuing to find support without any big break. Interestingly, the

Swiss franc was the worst performing currency alongside NOK and SEK yesterday. While Scandies are generally disfavoured in squeezed liquidity, CHF weakness appears a more structural problem at this stage. The Swiss National Bank's dovish surprise last week may be fuelling a preference for playing the hawkish Fed story via USD/CHF as opposed to USD/JPY, where intervention risk remains elevated. An October Fed hike could see the USD/CHF rally extend to 0.84-0.85.

Today's calendar should start to force US data back into the discussion. September consumer confidence is expected to stabilise around 89. JOLTS will offer more nuance to the August jobs picture. We feel payrolls were too strong last month and will be revised lower on Friday.

We need to see some stability in bonds for the dollar to correct lower. That relies heavily on oil, and the latest news isn't encouraging. Upside risks are rising again for the greenback.

Francesco Pesole

➔ **EUR: Surprise dovish tilt by Lagarde**

The euro held up relatively well yesterday considering the slew of dovish-leaning comments by ECB President Lagarde, which favoured a widening in the SOFR-ESTR 2yr swap to beyond 155bp. We are now not far from the 163bp max width reached in early July.

Lagarde seemed willing to tone down some market enthusiasm about an October hike yesterday, saying that tight financial conditions are limiting the pass-through of energy costs to the broader economy. She also stressed that the ECB should adopt a "measured response" given no evidence of second-round effects.

Her remarks confirm our suspicion that if one central bank hikes in October, it will be the Fed, and not the ECB. Pricing is now 17bp and 9bp, respectively. Our macro team thinks both will wait until December, hence our baseline view for a higher EUR/USD by year-end. But any hint of strong US data could prompt a test of the 1.1320-30 summer lows, with Lagarde's comments lifting some support off the euro.

Francesco Pesole

➔ **AUD: RBA considered a hold today**

The Reserve Bank of Australia hiked rates as expected to 4.60% this morning. AUD's first reaction was quite muted. The statement retained a hawkish stance, signalling upside risks to inflation and openness to hike again if needed.

However, the press conference (still ongoing at the time of writing) is adding a dovish taint and AUD has come under pressure, breaking below 0.700. Governor Michele Bullock said policymakers considered holding rates today, given risks to the housing market and a

potentially slower global economy due to the Middle East conflict.

There is 16bp left in the AUD OIS by year-end at the moment. It seems fair pricing. Despite Bullock's comment about a pause, the statement suggests the RBA is still ready to act, as it has been so far throughout 2026. If anything, the implied probability of a back-to-back hike in November at around 60% appears a bit too high.

Our call for AUD/USD at 0.720 in December has always relied heavily on the USD softening into year-end and easing global liquidity conditions. AUD's fundamentals remain solid, and this hike supports them further, so we remain confident that in that USD-bearish scenario into year-end, AUD would be an outperformer. But clearly, global conditions have worsened, and near-term downside risks have increased for AUD/USD.

Francesco Pesole

📌 CEE: The region remains in the wake of EM currency weakness

The CEE region's economic calendar is light today, with the global narrative remaining the primary driver. The Czech Republic is returning from a public holiday and market closure, which should lead to some catching up with the higher rates seen elsewhere in the region. We have observed a mixed opening across the region this week, with increased pressure on the forint while the zloty has seen some consolidation. Overall, however, emerging market currencies have faced pressure due to a stronger US dollar and higher global energy prices. This picture is likely to persist for CEE currencies in the coming days unless there is a significant shift in the global narrative or the geopolitical landscape. We therefore remain bearish for now.

Following the debt agency revision in Hungary, this year's gross borrowing needs rose by 25%, mainly through local-currency bonds (HGBs), retail bonds and T-bills. We estimate that AKK has completed roughly 77% of planned HGB issuance, slightly ahead of the 75% end-September pro rata mark. At the same time, the debt agency indicates a slightly lower supply of government bonds and sees no further need for FX issuance due to the inflow of EU funds. Overall, the funding situation appears to be under control, yet the debt agency will continue issuance at only a slightly slower pace for the remainder of the year.

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Article | 29 September 2026

RATES SPARK

Rates Spark: Global crosswinds leading euro rates

Inflation and confidence data releases are important for the eurozone economic outlook, but are not the main drivers of rates at the moment. Second-round inflation effects take time to show up in the data. Meanwhile, the ECB sees higher long-term rates as a growth headwind and remains committed to a measured response



In the eurozone, AI-related investments are a bigger theme than consumers

Consumers are still pessimistic, but are not a main player

From the eurozone, we will watch the first country-level CPI releases and confidence data, though neither is likely to distract from the broader global crosswinds. Markets will watch for signs of second-round inflation effects, but these are unlikely to appear in this week's data. In particular, the pass-through into wages takes time to materialise as energy prices stay elevated longer. European Central Bank President Christine Lagarde reiterated on Monday that wages were not yet showing a material response to the energy shock.

The ECB appears more aware of the headwind that rising market rates can pose. In her hearing at the European Parliament, Lagarde remarked that long-term interest rates had risen notably, which would slow growth and also reduce the pass-through more than was assumed in the September projections. She stated the ECB remained on the 'middle path' it had laid out earlier in the year, where a 'measured response' was still appropriate despite the larger energy shock.

The one clear weakness in global sentiment data is consumer confidence, but consumption is not driving the upturn in the economic outlook. AI-related investments are the bigger theme, and the role of the consumer in this narrative is unclear. Potential job losses from AI can weigh on consumer sentiment even while aggregate growth numbers paint a more positive picture. The bigger surprise would be a pickup in consumer sentiment. A pickup in consumption would add significant heat to an already resilient eurozone growth outlook. In that case, brace for more ECB interest rate hikes.

Tuesday's events and market view

Geopolitical headlines and upward pressure on energy prices provide rates with an excuse to push higher. EUR markets will look to the first country CPI data out of Spain for confirmation as headline rates are expected to rise. There is also a very busy slate of ECB officials: Nagel, Kazimir and Vujcic represent the hawkish end, President Lagarde, Chief Economist Lane and Italy's Cipollone come from the neutral to dovish spectrum. Also watch out for Bank of England speakers Mann and Taylor.

In terms of US data, the focus will be on the JOLTS job opening numbers as well as the Conference Board's consumer confidence index. It will also be busy on the Fed speaker front with Bowman, Goolsbee, Musalem, Williams and Waller among others scheduled for the day.

The primary market focus is the new 20y bond from the Netherlands to be launched via DDA (€5-6bn). Italy will auction a new 5y bond alongside taps in the 10y benchmark and 10y floater (€8bn). The UK auctions 10y gilts (£4.35bn).

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Article | 28 September 2026

RATES

GBP Money Markets: High premium for terming out

Markets are pricing in more than four Bank of England hikes as oil trades around \$100, but we think expectations have turned too hawkish, offering value further out the sterling money market curve. Meanwhile, ample reserves mean any material liquidity repricing remains a medium-term risk



We think markets have turned too hawkish on the Bank of England and therefore see value further out the money market curve

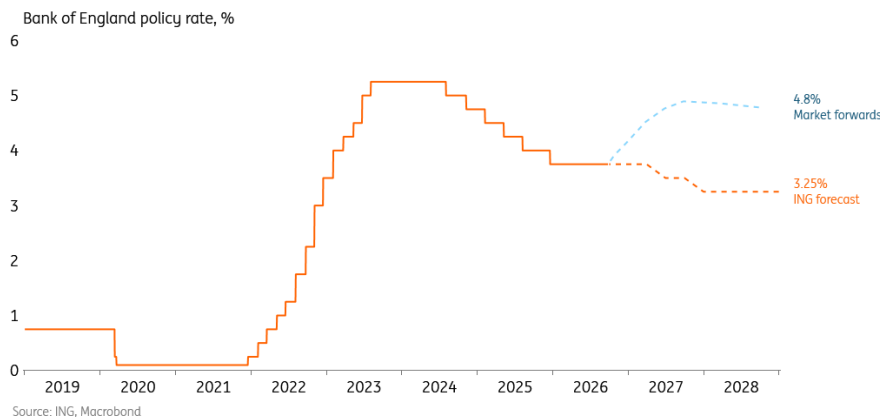
Term risk premium offers opportunities

Sterling money market rates have shown significant swings on the back of oil price moves, and we should brace for more volatility. For every \$10 increase in oil prices, the 2yr gilt yield rises by around 15bp. With Brent oil at \$100, markets are pricing in more than four hikes from the Bank of England over the coming year. This would bring SONIA to around 4.75%.

We think markets have turned too hawkish on the Bank of England and therefore see value further out the money market curve. Trading this market is difficult, however, as any further escalation in the Middle East would immediately push interest rates higher again. For this reason, we believe the curve embeds a significant risk premium for longer-maturity exposures.

Our economist does not expect the BoE to hike rates, and the central bank's communication is also more dovish than market pricing. Second-round inflation risks are limited, as the labour market has already cooled significantly over the past year. At 3.75%, we believe the policy rate is already restricting the economy, limiting the risk of overheating. As inflation should converge to target by mid-2027, we see scope for the BoE to cut rates towards 3.25%.

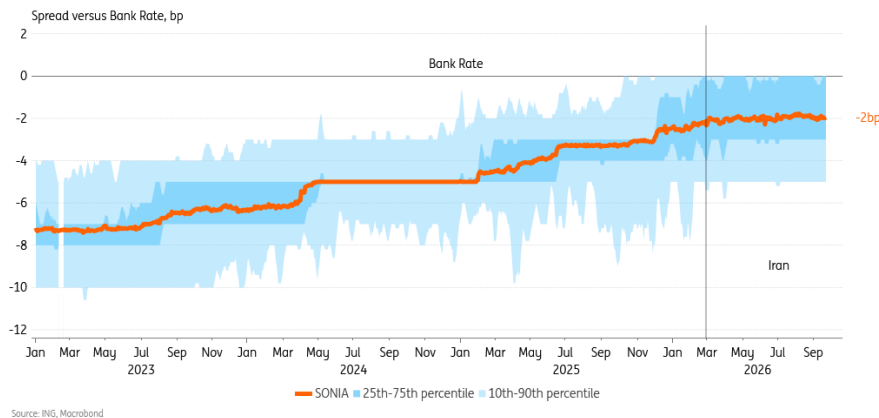
Markets are significantly more hawkish than economists



Liquidity costs still to rise, but not immediately

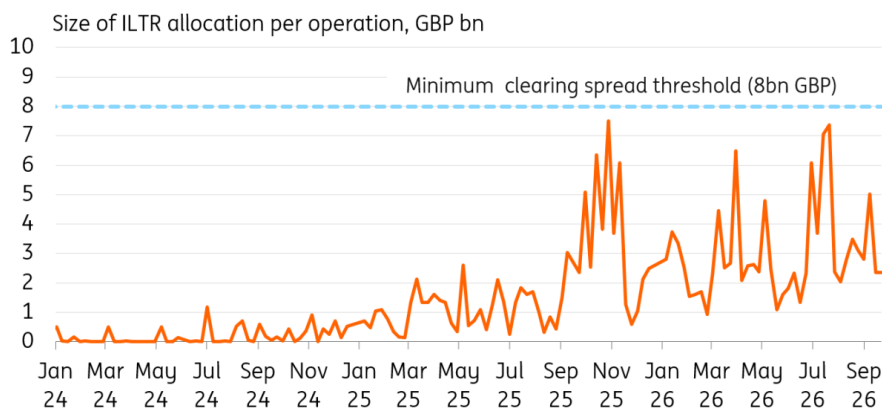
Even though SONIA rates seem to have stabilised at 2bp below Bank Rate, we still think liquidity could become more expensive in future. Quantitative tightening continues to withdraw reserves from the system, and banks increasingly rely on the Bank of England's liquidity facilities. The Short-Term Repo (STR) facility, which provides one-week reserves, is priced at Bank Rate and requires high-quality collateral, mainly gilts. The pricing of the six-month Indexed Long-Term Repo (ILTR) facility is more complex and increases as demand for reserves rises.

SONIA has settled around 2bp below Bank Rate, but could still drift higher



When demand at the ILTR auctions exceeds £8bn, banks will have to pay more for their funding, increasing liquidity costs. In July, the maximum allocation was £7.4bn, close to the threshold. Below the threshold, the spread paid by banks is fixed between 3bp and 15bp, depending on the quality of collateral. Above the £8bn threshold, the Bank of England will charge higher spreads, although the exact calculation is not public. The maximum allocation is set at £35bn, which offers plenty of headroom for the coming years.

Reserves are more costly when demand for ILTR exceeds £8bn



The Bank of England expects the clearing spread for the lowest-quality collateral to settle around 20-40bp, well above the minimum spread of 15bp. In effect, this would increase overall liquidity costs in sterling markets. Consequently, SONIA could still drift higher, potentially above Bank Rate. That said, SONIA is an overnight rate, while the ILTR facility provides six-month liquidity. SONIA also focuses on wholesale deposits from non-banks and therefore captures a different market segment from banks with access to the BoE's facilities. As such, the pass-through will not be one-to-one.

The good news is that reserves remain ample and we are still far from a significant repricing of liquidity. Banks are unlikely to bid above the minimum clearing spreads for now, so allocations will likely remain capped at £8bn. Only once the allocation hits the threshold for multiple

consecutive weeks would we start to anticipate a material drift higher in SONIA and other liquidity measures.

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Article | 23 September 2026

REAL ESTATE BELGIUM

Second-quarter resilience masks a more challenging outlook for Belgian housing

The Belgian housing market remained more resilient than expected in the second quarter of 2026, with a modest increase in prices and a recovery in transactions. However, weaker mortgage production and higher interest rates suggest demand will lose momentum, while higher energy prices could increase the value premium for energy-efficient homes



Belgium's housing market remained resilient in the second quarter, but weaker mortgage lending and higher interest rates point to slower growth ahead

Housing market activity remains resilient, but momentum is likely to weaken

Surprisingly, the Belgian housing market has so far remained relatively resilient amid tensions in the Middle East and the upward pressure they've applied on interest rates. Transactions increased by 2.4% in the second quarter compared with the previous quarter, although activity was still 4.1% lower than in the second quarter of 2025. House prices also continued to rise, increasing by 0.2% quarter-on-quarter and by 5.3% year-on-year.

The underlying picture, however, is less favourable. Mortgage lending remains weak, with the

number of new mortgages in the first eight months of the year still around 10% below the level recorded a year earlier. While the latest housing market figures have surprised on the upside, weaker mortgage activity suggests that momentum is likely to slow in the coming quarters.

Higher interest rates point to a more challenging outlook

Long-term interest rates have continued to rise since the start of the conflict in the Middle East – and as long as it persists, we see little room for a decline. This means that financing conditions are likely to remain restrictive. A fall in energy prices is likely a necessary condition for long-term interest rates easing, although they are still expected to remain above their pre-conflict levels.

While recent housing data has been more resilient than expected, the outlook remains thus challenging. Following three years of real house price declines between 2022 and 2024, 2025 marked a return to positive real price growth. However, in the coming years, we expect the Belgian housing market to gradually cool again, with nominal median house prices increasing by 2.5% in 2026 and 2.0% in 2027.

Higher energy prices could further widen the gap between efficient and inefficient homes

The current environment could once again widen the price gap between energy-efficient and energy-intensive homes. As temperatures begin to fall and energy consumption rises, the financial benefits of energy-efficient housing are likely to become more visible again. The energy crisis of 2022 has had a lasting impact on how Belgian households assess the value of their homes. Before the crisis, strong energy performance was often viewed as an additional selling point. Since then, soaring energy bills, alongside increasingly stringent renovation requirements, have highlighted the financial risks associated with poorly insulated properties.

Recent increases in energy prices further reinforce this trend. Higher energy costs improve the economics of investments in insulation, high-performance glazing and more efficient heating systems by shortening their payback periods. At the same time, stricter renovation standards are encouraging buyers to pay closer attention to future renovation costs when making purchasing decisions.

While we expect the Belgian housing market to lose some momentum in the coming quarters, demand for energy-efficient homes should remain relatively resilient. Energy efficiency is increasingly valued not only for its ability to reduce energy expenses, but also as a hedge against future energy price shocks and regulatory risks. As a result, energy performance is becoming an increasingly important determinant of both a property's value and its long-term marketability.

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Article | 22 September 2026

MANUFACTURING, CONSTRUCTION AND RETAIL THE NETHERLANDS

Revenue growth masks growing pressure on retail profitability in the Netherlands

Dutch retail sales are expected to increase by 3% in 2026, driven by 4.5% growth in e-commerce. Supermarkets and drugstores are gaining online market share at the expense of online-only retailers. At the same time, rising costs and intense price competition are making it harder for retailers to translate sales growth into higher profits



Improved purchasing power is supporting spending, but consumers remain cautious

3% retail sales growth in 2026

Retail sales are expected to increase by 3% in 2026, the same as last year. Consumers remain cautious about their spending, which means growth is modest despite improved purchasing power.

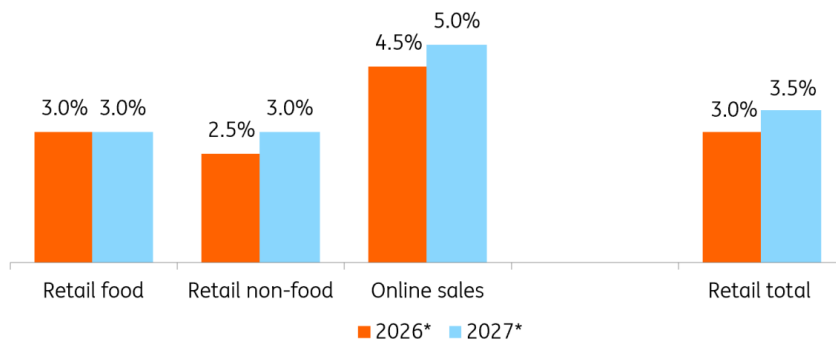
Ongoing geopolitical tensions and the resulting rise in energy and fuel prices continue to weigh on consumer confidence and spending appetite.

Within the retail sector, e-commerce remains the primary growth driver with an expected increase of 4.5%, outperforming food retail (3%) and non-food retail (2.5%). Looking ahead, a

similar growth pattern is anticipated for 2027, broadly reflecting expectations for the Dutch economy as a whole.

Retail sales growth of 3% again in the Netherlands in 2026

Retail sales volumes in the Netherlands in 2026



Source: CBS, *forecasts 2026 and 2027 ING Research

Prices for shoes, furniture and consumer electronics continue to ease

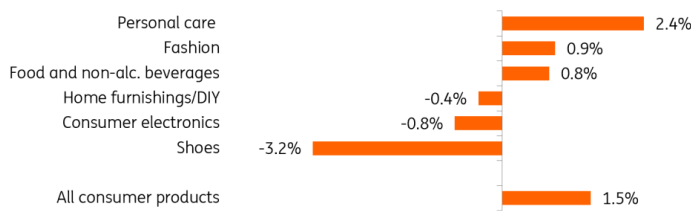
Despite higher energy and fuel costs, consumer goods prices increased by an average of just 1.5% in the first seven months of 2026, down from 2.4% a year earlier. The slowdown was particularly evident in food and non-alcoholic beverages. After prices rose by an average of 4% in 2025, food inflation eased significantly, with prices increasing by less than 1% between January and July 2026.

Price pressures have also moderated across much of the non-food segment. Personal care products, such as shampoo and perfume, became on average 2.4% more expensive, while clothing prices rose by around 1%. In contrast, prices for shoes, furniture and consumer electronics were slightly lower than a year earlier.

However, the recent easing in food inflation is unlikely to last. Drought-related supply disruptions and geopolitical tensions are expected to push food prices higher again later this year. In the non-food segment, price developments are expected to remain broadly in line with last year, with only modest inflationary pressure.

Personal care products, in particular, became more expensive in 2026

Consumer prices (CPI), January to July 2026, year-on-year



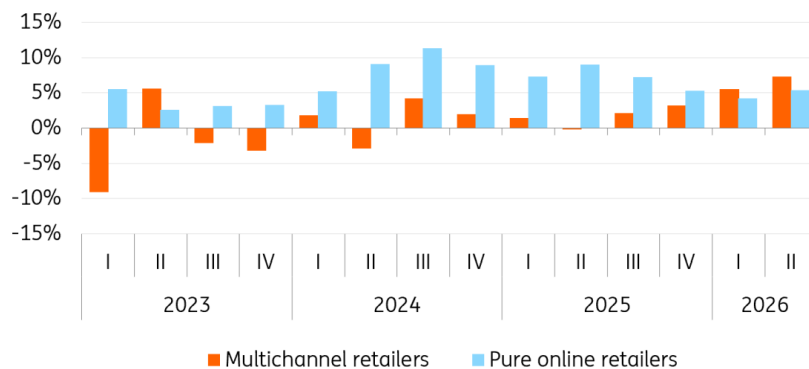
Source: CBS, ING Research

E-commerce steadily expands its market share

With expected turnover growth of 4.5% in 2026, e-commerce remains the retail sector's primary growth engine. Growth is projected to remain robust at around 5% in 2026. While the era of double-digit growth has come to an end, the long-term shift towards online shopping continues. As a result, e-commerce is steadily increasing its share of total retail sales, further strengthening its position at the expense of traditional retail channels.

In 1H26, multichannel retailers outperformed online-only retailers for the first time since 2023

Revenue growth in online sales in the Netherlands, year-on-year



Source: CBS, ING Research

Multichannel retailers outpace online-only retailers

For the first time since 2022, online sales growth among multichannel retailers has outpaced that of online-only retailers. While it is still too early to conclude that a structural shift is underway, the trend suggests that traditional retailers are starting to regain online market share.

This is partly explained by shifting consumer demand. Online spending is currently growing fastest in segments where multichannel retailers have a strong market position, particularly supermarkets and drugstores. In addition, traditional retailers have significantly strengthened

their digital capabilities in recent years through investments in websites, mobile apps, and logistics networks. As a result, they are increasingly able to compete online, combining the convenience of e-commerce with the advantages of an extensive physical store network, such as click-and-collect services, local fulfilment, and in-store customer engagement.

Growth does not automatically translate into profit

While sales continue to grow, market conditions remain challenging for many retailers. Rising sourcing, logistics, and labour costs are increasing pressure across food, non-food, and e-commerce. At the same time, fierce competition and price-sensitive consumers limit the scope to pass these higher costs on. As a result, profit margins remain under pressure and achieving profitable growth is becoming increasingly difficult.

Omnichannel excellence becomes a competitive advantage

In a market where competing on price alone is becoming less sustainable, creating clear customer value is increasingly important. Retailers can strengthen their competitive position through distinctive product offerings, strong private labels, customer loyalty programmes, and a seamless omnichannel experience. Companies that successfully combine cost discipline with clear differentiation are better positioned to maintain pricing power and protect margins in an increasingly competitive retail landscape.

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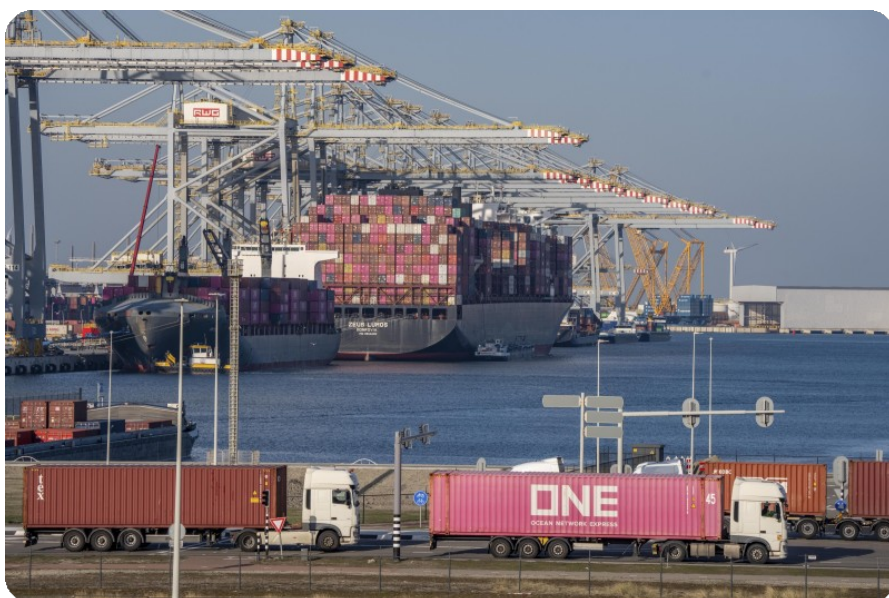
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Article | 22 September 2026

TRANSPORT & LOGISTICS THE NETHERLANDS

Dutch transport and logistics proves resilient amid rising costs, global disruption

The Dutch transport and logistics sector is set for moderate growth into 2027, supported by consumer demand and resilient freight markets. Yet rising costs, trade tensions, geopolitical uncertainty and climate-related disruptions are reshaping transport flows, making pricing power crucial



Domestic demand is holding up relatively well in the Netherlands despite global uncertainty and above-average inflation

Transport & Logistics: Moderate growth, wide differences between subsectors

The Dutch transport and logistics sector is expected to grow by around 1% in 2026 as globally active aviation and maritime shipping performed better than expected. International markets, though, will provide less support **next year**. Nevertheless, global trade remains resilient, while shipping companies continue to benefit from longer trade routes.

Domestic demand is holding up relatively well despite global uncertainty and above-average inflation. This is increasingly visible in **road transport**, where market conditions are improving, and capacity pressures are gradually re-emerging. Consumer spending growth remains an

important driver.

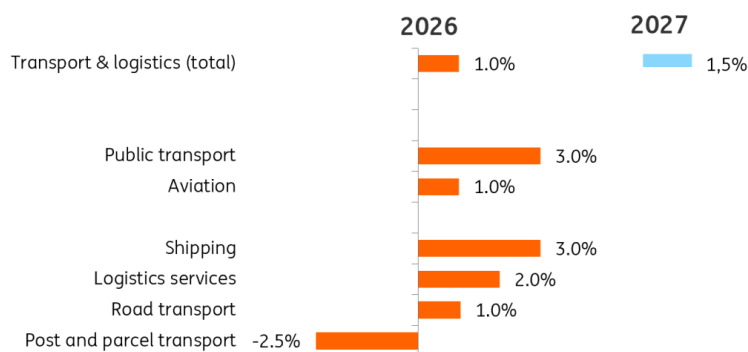
Parcel delivery has moved beyond its strongest growth phase. Following years of rapid expansion, volumes are expected to stabilise. The ongoing decline in postal volumes will push the overall segment into contraction.

Logistics service providers are benefiting from a more volatile trading environment. Supply chain uncertainty has increased the strategic value of logistics expertise, creating opportunities in warehousing, inventory management and supply chain management.

Passenger transport, meanwhile, is expected to perform especially well. Public transport usage has recovered faster than anticipated, supported by a strong spring season and the introduction of summer travel subscription efforts. Part of this increase is likely to prove structural.

Mixed outlook for transport and logistics, with slightly stronger growth in 2027

Expected volume growth of transport and logistics subsectors, % year-on-year



Source: CBS, ING Research

Slightly stronger growth expected in 2027

Sector growth is expected to accelerate modestly to around 1.5% in 2027, supported by a recovery in construction and gradual improvement in the German economy.

Dutch trade is expected to strengthen, although the economy will continue shifting towards services. Meanwhile, investments in the energy transition and AI infrastructure are generating additional freight demand. Globally active shipping companies and Dutch ports can benefit from these developments.

Growth development and forecast transport and logistics sectors

Growth in % per year					
	2025		2026		2027
	Volume	Turnover	Volume	Turnover	Volume
Transport & logistics	2.7%	4.4%	1.0%	10.0%	1.5%
Road transport	1.4%	4.8%	1.0%	15.0%	1.5%
Public transport	1.5%		1.0%		1.0%
Rail goods transportation	-4.0%		-3.0%		-2.0%
Shipping	8.9%	2.3%	3.0%		0.5%
Aviation*	5.9%	3.9%	1.0%		3.0%
Logistics services	2.0%	4.9%	2.0%		2.0%
Post and parcels	-2.5%	4.0%	-2.5%		-0.5%

Source: CBS, KIM, Prorail, ING Research *passenger and freight transport

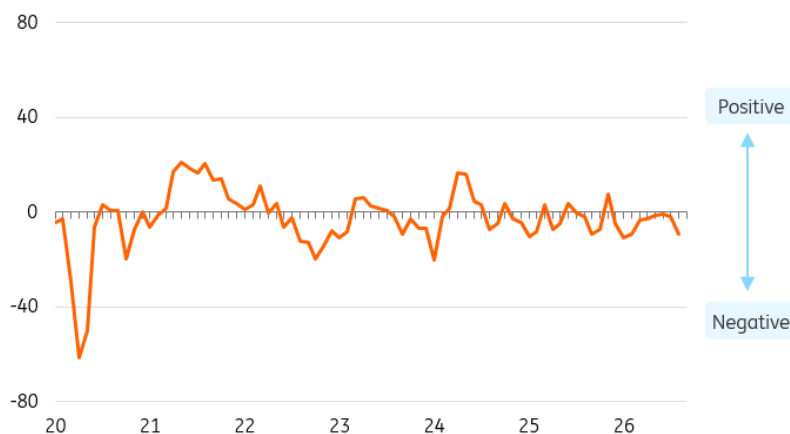
Economic growth generating different transport demand

Industry, construction and trade remain the traditional core customers for freight transport and account for roughly three-quarters of transport and logistics activity.

However, the Dutch economy is becoming increasingly service-oriented. The fastest-growing sectors, particularly business services and healthcare, generate less freight demand than traditional industrial sectors. The nature of industry itself is changing as growth shifts toward machinery manufacturing and high-tech production, including companies such as ASML.

Transport and logistics companies still slightly negative about business climate

Assessment by transport and logistics companies of the expected economic climate*



Source: CBS

Mixed business sentiment

Business sentiment remains cautious. Conditions vary considerably between market segments, while uncertainty, rising costs and substantial investment requirements weigh on confidence.

Global supply chains are being affected by geopolitical tensions, protectionism and more frequent extreme weather events. These disruptions create operational challenges but also opportunities for logistics providers and support freight rates in maritime shipping.

Moreover, businesses have become increasingly accustomed to operating in a volatile environment, making them more resilient than in previous periods of disruption.

Bankruptcy rates are rising in road transport, but remain relatively low overall

Share of bankruptcies, first half of each year



Source: CBS, ING Research

Rising costs are testing financial resilience

Cost inflation remains the dominant theme across the sector. Fuel prices, wages and new charges such as the truck toll have increased sharply, while higher interest rates are adding to financing costs.

Passing these costs on to customers remains crucial. Business surveys indicate growing financial pressure, which is likely to affect profitability across parts of the sector.

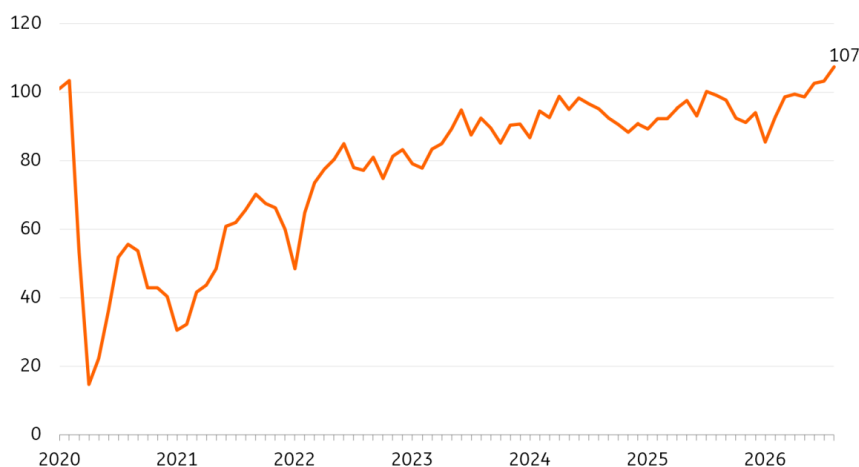
Bankruptcies increased during the first half of 2026, particularly in road transport, and may rise further during the second half of the year. Even so, levels are moderate by historical standards.

At the same time, merger and acquisition activity continues to increase. Smaller firms without succession plans and companies facing major investments in electrification, digitalisation and compliance are increasingly opting to sell.

Passenger Transport

Public transport volume with summer push (temporarily) back above covid level

Number of public transport check-ins per month in The Netherlands (2019=100)



Source: Translink, ING Research

Public transport recovery exceeds expectations

Supported by the government's summer travel subscription initiative, public transport usage temporarily exceeded pre-pandemic levels for the first time. On a per-capita basis, however, passenger volumes have not yet fully recovered because the Dutch population has expanded by 4.5% since 2019.

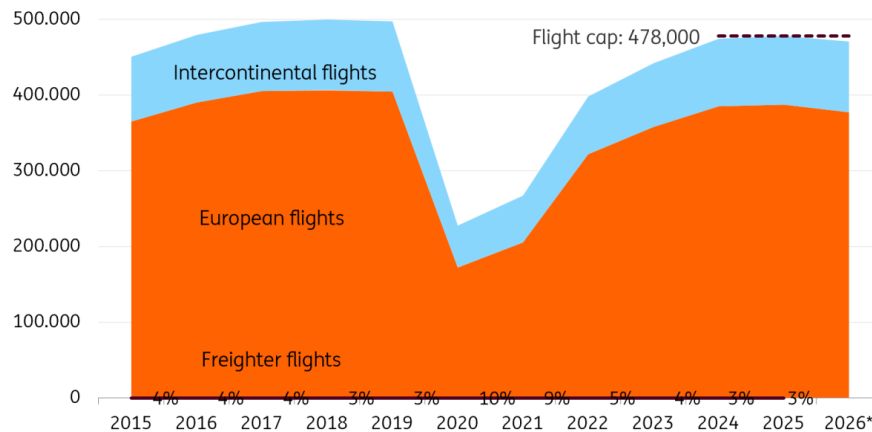
Passenger numbers may ease somewhat after summer, but the recovery is progressing faster than previously anticipated. Rail punctuality has improved, although infrastructure projects and a cumulative 13% rise in ticket prices since early 2025 continue to create headwinds.

Travel patterns are permanently different from before the pandemic, with demand spread

more evenly across the week. Regional public transport continues to lag due to budget reductions, route cancellations and reduced frequencies.

Schiphol is likely to have limited room for growth in 2027

Number of flights Schiphol to type, per year



Source: Schiphol *Forecast ING Research

Aviation: Capacity constraints and rising costs

Schiphol recorded approximately 4% fewer flights through July than a year earlier. Poor weather, temporary weakness in demand during the Middle East conflict and flight cancellations linked to higher jet fuel costs contributed to the decline.

Demand recovered quickly despite higher ticket prices, suggesting that underlying conditions remain robust. Schiphol already operates close to its practical capacity limit of roughly 478,000 flights annually, meaning future growth will depend primarily on larger aircraft and higher load factors.

Government plans call for the opening of Lelystad Airport for commercial aviation by the end of 2027, which could shift around 10,000 European flights away from Schiphol. Given repeated delays, however, implementation remains uncertain.

Meanwhile, more Dutch passengers are increasingly using airports in Belgium and Germany.

Ticket prices continue to rise

Airfares have increased substantially over recent years and were around 7.5% higher during summer 2026 than a year earlier. Elevated jet fuel costs are the main driver.

European dependence on imported jet fuel and high refining margins suggest fuel costs will

remain elevated. Airlines therefore still face pressure to raise fares.

Additional upward pressure comes from stricter sustainability policies, including the full phase-out of free emissions allowances for intra-European flights, increasing sustainable aviation fuel requirements and the planned distance-based aviation tax from 2027 (up to almost €60 from a flat €30).

Freight Transport

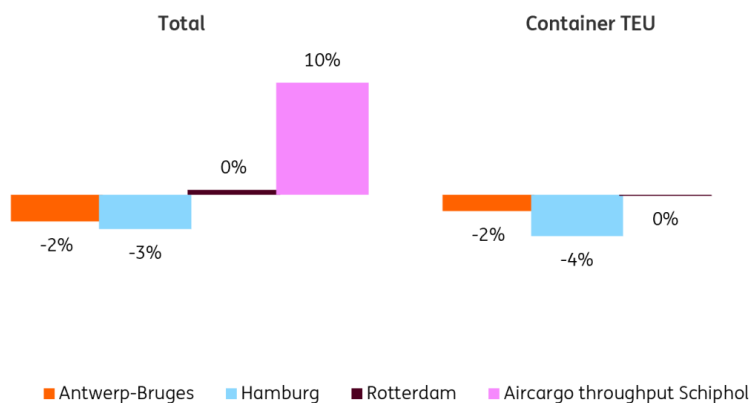
Logistics providers benefit from volatility

Logistics service providers continue to outperform much of the broader transport sector. The outsourcing of supply chain activities, combined with growing uncertainty in global trade, has strengthened their strategic role.

Demand for reliability, speed and supply chain resilience is still growing, particularly for high-value products. Combined with relatively high air and ocean freight rates, these trends should support another solid year for many logistics providers.

Port throughput and container volumes under pressure, while air freight benefits as a fast option

Development in cargo throughput at major seaports and at Schiphol in the first half of 2026 (by tonnage, year-on-year)



Source: Port authorities

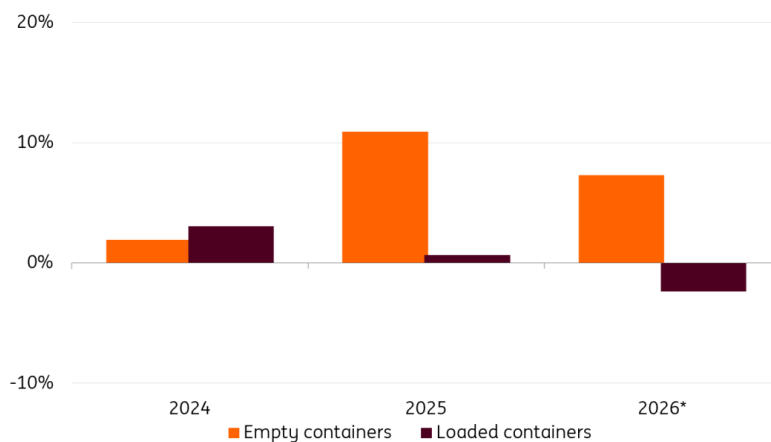
Global trade continues to grow

The anticipated slowdown in global goods trade has not materialised. Growth remained near 5% during the first half of 2026, supported largely by continued export expansion from China.

Although much of this trade bypasses European ports, globally active Dutch shipping companies continue to benefit. Disruptions in the Red Sea, Black Sea, Strait of Hormuz and Panama Canal are maintaining longer sailing distances, supporting demand for shipping services.

Strong growth of empty container volumes in the Port of Rotterdam

Growth throughput of loaded and empty containers y.o.y.



Source: Port of Rotterdam, ING Research *1st half

Empty container movements continue to surge

Container throughput in Rotterdam was broadly stable in the first half of 2026, but empty-container volumes rose significantly. Similar trends are visible in Antwerp-Bruges.

This reflects widening trade imbalances between Europe and Asia, particularly China's growing export surplus. Increasing empty-container movements create congestion and operational inefficiencies, while supply chain disruptions push global port congestion to elevated levels.

At Rotterdam, terminal capacity constraints remain a bottleneck. Planned expansions on Maasvlakte 2 should provide some relief from 2027 onwards.

Inland shipping benefits from low water levels

Exceptionally low water levels have once again restricted inland shipping capacity. Loading limitations and tight vessel availability have pushed freight rates higher and are likely to result in a financially strong year for inland operators.

Structurally, however, recurring disruptions are problematic because they may encourage

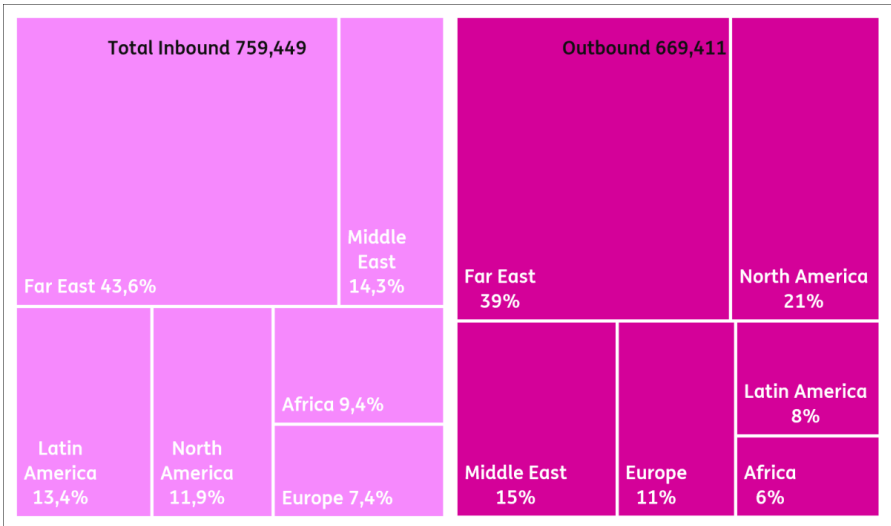
shippers to shift freight to road transport, undermining long-term modal shift ambitions.

Coal volumes continue their long-term decline, particularly in rail freight. Most of the contraction in rail transport over the past decade can be linked to lower coal demand, while intermodal transport expands.

The ability to switch flexibly between transport modes is becoming increasingly important. Ongoing infrastructure works in both the Netherlands and Germany nevertheless remain a constraint for rail freight.

Air freight has extensive connections, with a large share of traffic linked to Asia (China) and the United States

Share of Schiphol air freight volumes by region (inbound and outbound), measured in tonnes, 2026*



Source: Schiphol, ING Research *Up and including July

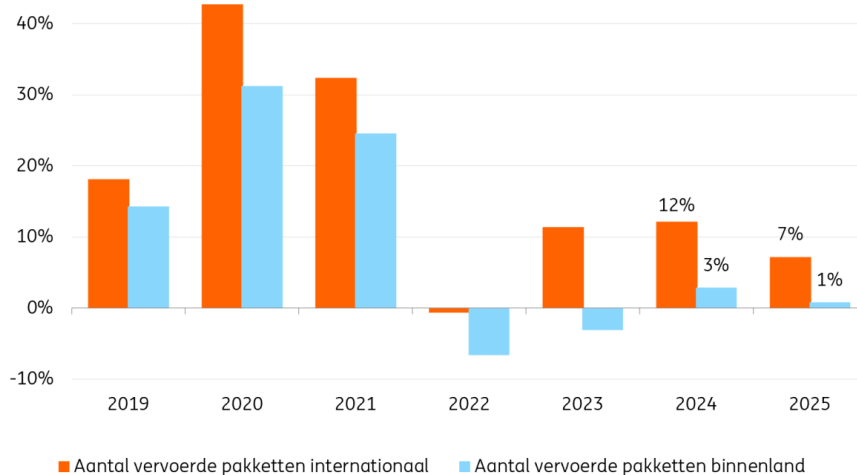
Air cargo thrives amid uncertainty

Air freight remains an attractive option where speed and reliability are critical. Trade uncertainty and supply chain disruptions are supporting demand.

The Asia region has become increasingly important for Dutch air cargo imports, reflecting China's growing role in global trade. While lower Chinese parcel volumes have somewhat reduced growth, demand remains supported by the need for flexibility and resilience.

Parcel delivery has passed peak growth rate, while inflows from Asia slowing amid import tariffs

Growth in number of shipped parcels in The Netherlands y.o.y.



Source: ACM, ING Research

Parcel market matures, while EU import levy kicks in

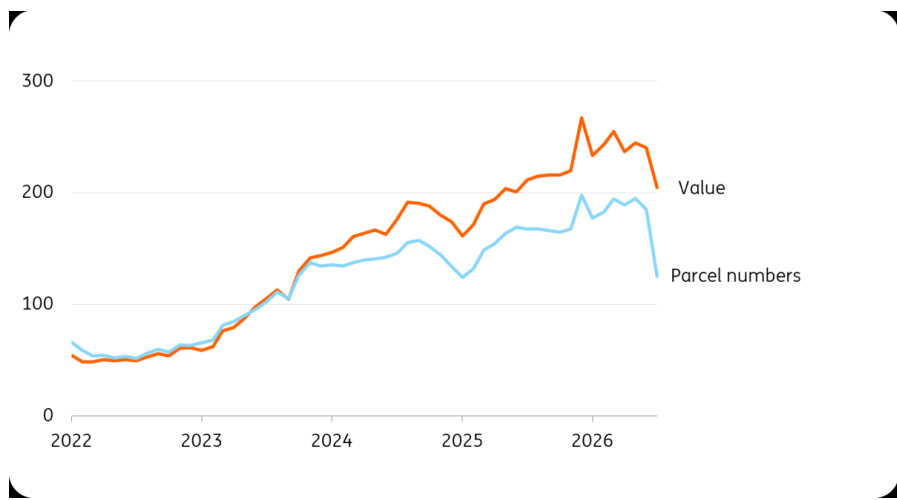
After years of rapid expansion, parcel logistics is entering a more mature phase. Growth is slowing as e-commerce penetration increases, and consumers make greater use of parcel lockers, collection points and store-based fulfilment.

International parcels have been a major growth driver, particularly shipments linked to Chinese online platforms. However, the introduction of the €3 European parcel levy has clearly affected demand, contributing to a marked decline in Chinese parcel volumes during summer 2026.

Part of this traffic is shifting towards consolidated shipments and maritime transport, followed by European fulfilment-centre distribution.

Particularly smaller payments to Chinese webshop faced a setback after the small parcel fee (01/07)

Index (2023 = 100)



Source: ING Transactiondata, ING Research

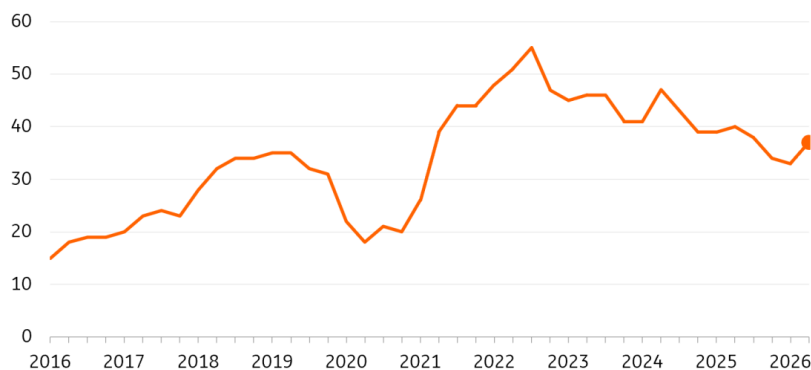
Labour shortages re-emerge

Labour availability remains one of the sector's biggest challenges. Although vacancy rates have eased somewhat, shortages are well above pre-pandemic levels.

Drivers, conductors and warehouse workers are scarce, while shortages of maintenance technicians and IT specialists are becoming increasingly important. Ageing demographics, limited inflows of new workers and elevated sickness absence are constraining labour supply.

Vacancy rate in transport and logistics rising again – and higher than in past

Transport and Logistics Sector Vacancy Rate (Vacancies per 1,000 Jobs), by Quarter (Netherlands)



Source: CBS, ING Research

Domestic transport emissions continue to fall

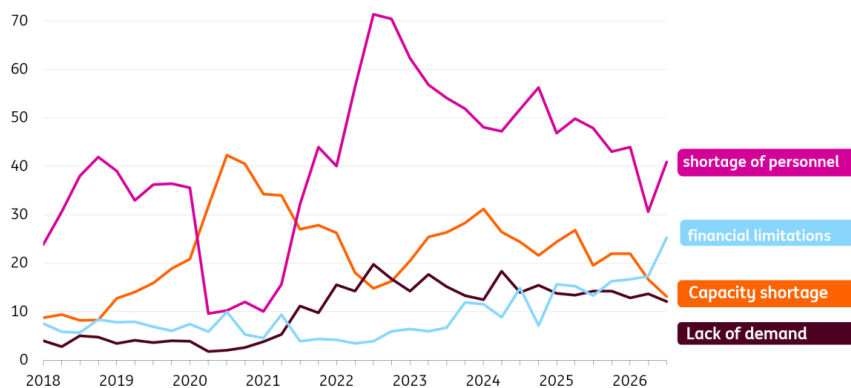
Transport-sector greenhouse gas emissions have fallen significantly since 2019, supported by higher biofuel blending rates, more efficient vehicles and increasing electrification.

However, further reductions are needed to achieve Dutch climate targets for 2030. The sector is not yet fully on track according to the Climate and Energy Outlook.

Looking ahead, the truck charging scheme and rapid growth in electric truck usage should accelerate emissions reductions within freight transport. Together with continued electrification of passenger transport, this will help move the sector closer to its climate objectives.

Demand is recovering, but financial pressure is also increasing

Barriers in transport and logistics, % of companies experiencing each constraint



Source: CBS, ING Research

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RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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